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Adobe Inc.

Takeaways From Tech Innovators Conference; Patience on Freemium With More Strategic Color to Come in December

Last week, we hosted Nihar Barbhaiya and Nancy Lee from Adobe's investor relations team for investor meetings. Commentary about freemium, Firefly, and AI partnerships was largely consistent with prior disclosures. The company continues to have conviction in the freemium strategy, though acknowledged it is still in the very early innings and cannot yet say when monetization will occur at scale from the strategy. We sense there will be some more information on December's earnings calls, including incoming CEO Anil Chakravarthy's operating strategy.

Freemium appears to be tracking with internal expectations. Management remains encouraged by the early performance of its enhanced freemium motion, though conversion data is not disclosed and it is not yet commenting on when these customers might start showing up meaningfully in revenue. However, the company is keeping a close eye on KPIs like funnel, retention, LTV, and others and noted that the metrics are moving in the right direction. It is making data-driven decisions to inform its strategy. The company noted that users engaging with AI features demonstrate better conversion and LTV characteristics than broader cohorts. We continue to look for evidence that Adobe can meaningfully expand its user base while achieving durable monetization over time.

Expect more strategic clarity in the fourth quarter. Incoming CEO Chakravarthy is actively participating in 2027 planning discussions and strategic reviews as he plans to take over the CEO position on December 1. We should expect additional details around his strategic priorities and long-term vision during Adobe's fourth-quarter earnings call on December 9. This includes rounding out the management team, though we sensed a permanent CFO announcement could come in the near term, with both internal and external candidates under consideration for the role.

Pricing deferred, user acquisition prioritized. Adobe remains focused on validating conversion curves, retention, and user behavior before revisiting broader pricing actions. The company remains focused on expanding the top of the funnel and optimizing the freemium experience, with pricing likely to be revisited further down the road as visibility into onboarding, conversion, retention, and monetization trends improves. Enterprise pricing actions are not off the table since these are all negotiated with existing customers, though we did not get the sense that this was a priority.

Stock Rating: **Market Perform**

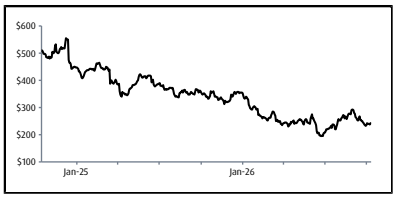
Symbol:	ADBE (NASDAQ)
Price:	$242.27 (52-Wk.: $190-$364)
Market Value (M):	$97,538
Dividend/Yield:	$0.00/0.00%
Fiscal Year End:	November

		2025A	2026E	2027E
Estimates				
Sales (M)	FY	$23,765.0	$26,596.2	$28,921.0
EBITDA (M)	Q1	$2,849.0	$3,170.0	$3,241.8
	Q2	$2,800.0	$3,092.0	$3,416.1
	Q3	$2,902.0	$3,131.0	$3,514.8
	Q4	$2,943.0	$3,156.1	$3,577.3
	FY	$11,494.0	$12,549.1	$13,750.0

Trading Data (FactSet)	
Shares Outstanding (M):	389.2
Float (M):	388.5
Avg. Daily Volume (90-day):	5,937,837

Financial Data (FactSet)	
Book Value Per Share (MRQ):	$30.09
Return on Equity (TTM):	61.9%
Enterprise Value (M):	$98,262

Two-Year Price Performance Chart



Sources: FactSet, William Blair & Company estimates

Adobe is a leading enterprise software business that caters its solutions toward creative professionals, communicators, and marketers.

Please refer to important disclosures on pages 5 – 6. Analyst certification is on page 5.
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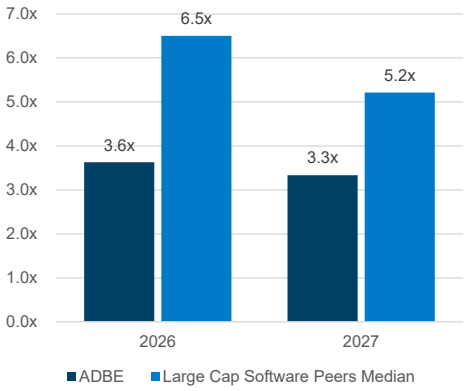
Management largely unconcerned about recent AI-generated Adobe alternatives. Management was largely unconcerned by AI-native Adobe alternatives. The company argued that professional users ultimately value reliability, asset management, ecosystem integration, enterprise support, and workflow continuity more than isolated AI capabilities that do not fit into a more holistic ecosystem. In Adobe's view, the competitive differentiation remains the broader creative workflow and platform rather than any single feature or capability.

AI partnerships remain strategically important to drive top of funnel. Management views partnerships with OpenAI, Anthropic, Google (GOOG $347.86; Outperform), and other platforms primarily as top-of-funnel acquisition opportunities. While these relationships continue to expand Adobe's reach and create additional entry points into the ecosystem, near-term revenue impact is expected to be limited. That said, the partnerships help reinforce Adobe's position within the evolving AI landscape and create additional pathways for user acquisition and engagement.

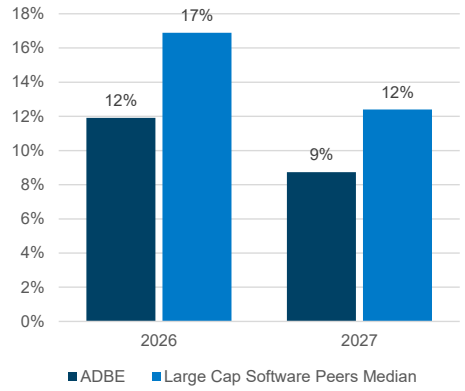
Stock thoughts and valuation. Adobe shares are trading at 8 times our 2027 FCF estimate, a discount to the large-cap software peer group median at 20 times. While Adobe has built a strong platform for creative, marketing, and document workflows, there are legitimate questions about the intense competitive nature of the creative end-market. A meaningful growth acceleration and share gains from AI would be a clear rebuttal from Adobe that it is outpacing the pack. However, this seems unlikely in the near term, which suggests the overhang on the stock is likely to linger and, as a result, shares may remain range-bound during this time. Therefore, we are maintaining our Market Perform rating.

ADBE: Adobe, Inc. Valuation Snapshot - Stock Price: $242.27

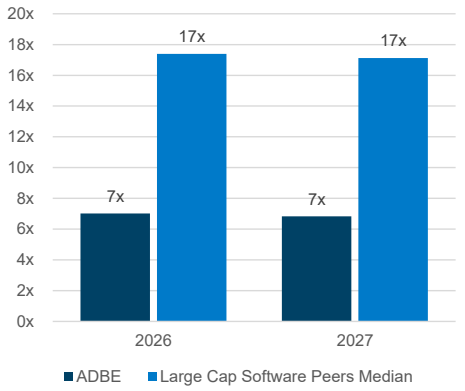
EV/Revenue



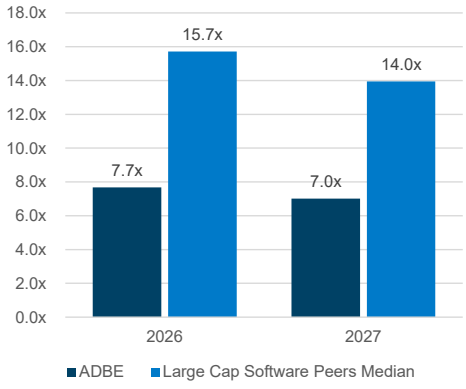
Revenue Growth



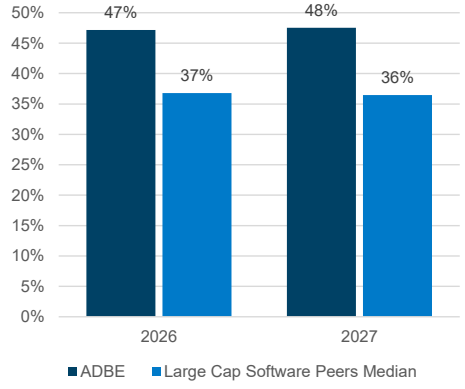
EV/Revenue/R40



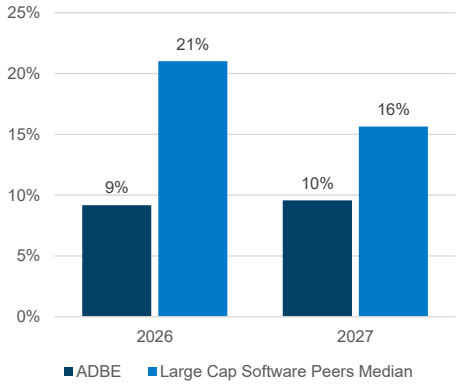
EV/EBITDA



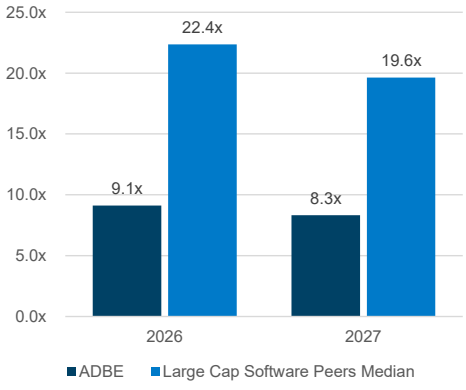
EBITDA Margin



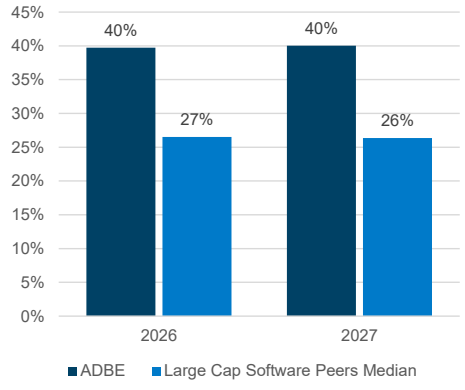
EBITDA Growth



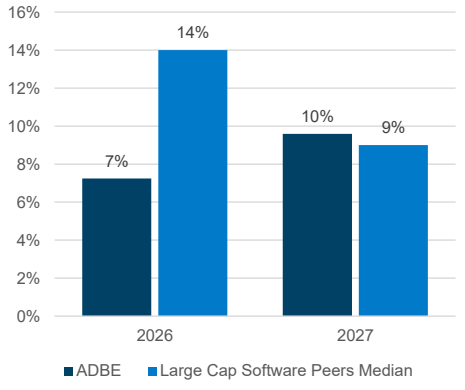
EV/FCF



FCF Margin



FCF Growth



Risks

Competition: While Adobe has built a strong platform for creative, marketing, and document workflows, there are legitimate questions surrounding the intense competitive nature of the creative end market. Companies such as Canva are a key competitor to Adobe, especially in the SMB market.

Budget volatility: Cyclical marketing/advertising budgets could result in compressed growth opportunities for the business.

Note: all data is calendar years.
Sources: William Blair estimates and FactSet.

ADBE
Income Statement

Fiscal Year Ends December 31 ($ in billions, except per share items)	2022	Feb-23 1Q23	May-23 2Q23	Aug-23 3Q23	Nov-23 4Q23	2023	Feb-24 1Q24	May-24 2Q24	Aug-24 3Q24	Nov-24 4Q24	2024	Feb-25 1Q25	May-25 2Q25	Aug-25 3Q25	Nov-25 4Q25	2025	Feb-26 1Q26	May-26 2Q26	Aug-26 3Q26	Nov-26 4Q26E	2026E	Feb-27 1Q27E	May-27 2Q27E	Aug-27 3Q27E	Nov-27 4Q27E	2027E
Total Revenue	**17,606**	**4,655**	**4,816**	**4,890**	**5,048**	**19,409**	**5,182**	**5,309**	**5,408**	**5,606**	**21,505**	**5,714**	**5,873**	**5,988**	**6,190**	**23,765**	**6,398**	**6,618**	**6,760**	**6,820**	**26,596**	**6,987**	**7,203**	**7,332**	**7,399**	**28,921**
Q/Q % Change		2.9%	3.5%	1.5%	3.2%		2.7%	2.5%	1.9%	3.7%		1.9%	2.8%	2.0%	3.4%		3.4%	3.4%	2.1%	0.9%		2.4%	3.1%	1.8%	0.9%	
Y/Y % Change	11.5%	9.2%	9.8%	10.3%	11.6%	10.2%	11.3%	10.2%	10.6%	11.1%	10.8%	10.3%	10.6%	10.7%	10.4%	10.5%	12.0%	12.7%	12.9%	10.2%	11.9%	9.2%	8.8%	8.5%	8.5%	8.7%
Gross Profit	**15,768**	**4,170**	**4,326**	**4,390**	**4,534**	**17,420**	**4,664**	**4,784**	**4,881**	**5,060**	**19,389**	**5,164**	**5,308**	**5,420**	**5,599**	**21,491**	**5,768**	**5,949**	**6,050**	**6,104**	**23,871**	**6,260**	**6,454**	**6,562**	**6,622**	**25,898**
Gross Margin	**89.6%**	**89.6%**	**89.8%**	**89.8%**	**89.8%**	**89.8%**	**90.0%**	**90.1%**	**90.3%**	**90.3%**	**90.2%**	**90.4%**	**90.4%**	**90.5%**	**90.5%**	**90.4%**	**90.2%**	**89.9%**	**89.5%**	**89.5%**	**89.8%**	**89.6%**	**89.6%**	**89.5%**	**89.5%**	**89.5%**
S&M	**4,557**	**1,179**	**1,220**	**1,205**	**1,247**	**4,851**	**1,216**	**1,310**	**1,288**	**1,399**	**5,213**	**1,363**	**1,491**	**1,493**	**1,587**	**5,933**	**1,563**	**1,728**	**1,674**	**1,685**	**6,650**	**1,747**	**1,765**	**1,774**	**1,776**	**7,061**
% of Total Revenue	25.9%	25.3%	25.3%	24.6%	24.7%	25.0%	23.5%	24.7%	23.8%	25.0%	24.2%	23.9%	25.4%	24.9%	25.6%	25.0%	24.4%	26.1%	24.8%	**24.7%**	25.0%	**25.0%**	**24.5%**	**24.2%**	**24.0%**	24.4%
Q/Q Change		(0.3%)	3.5%	(1.2%)	3.5%		(2.5%)	7.7%	(1.7%)	8.6%		(2.6%)	9.3%	0.1%	6.3%		(1.5%)	10.6%	(3.1%)	0.6%		3.7%	1.0%	0.5%	0.1%	
Y/Y Change	13.7%	10.4%	6.1%	4.2%	5.4%	6.5%	3.1%	7.4%	6.9%	12.2%	7.5%	12.1%	13.8%	15.9%	13.4%	13.8%	14.6%	15.9%	12.2%	6.2%	12.1%	11.8%	2.1%	6.0%	5.4%	6.2%
R&D	**2,270**	**618**	**649**	**654**	**670**	**2,591**	**703**	**747**	**777**	**765**	**2,992**	**807**	**857**	**844**	**863**	**3,370**	**868**	**939**	**1,034**	**1,037**	**3,877**	**1,048**	**1,052**	**1,056**	**1,058**	**4,213**
% of Total Revenue	12.9%	13.3%	13.5%	13.4%	13.3%	13.3%	13.6%	14.1%	14.4%	13.6%	13.9%	14.1%	14.6%	14.1%	13.9%	14.2%	13.6%	14.2%	15.3%	**15.2%**	14.6%	**15.0%**	**14.6%**	**14.4%**	**14.3%**	14.6%
Q/Q Change		8.0%	5.0%	0.8%	2.4%		4.9%	6.3%	4.0%	(1.5%)		5.4%	6.2%	(1.5%)	2.2%		0.6%	8.1%	10.1%	0.3%		1.1%	0.3%	0.4%	0.2%	
Y/Y Change	14.4%	13.4%	15.1%	11.0%	17.1%	14.1%	13.8%	15.1%	18.8%	14.2%	15.5%	14.7%	14.7%	8.6%	12.7%	12.6%	7.6%	9.6%	22.5%	20.2%	15.1%	20.7%	12.1%	2.2%	2.1%	8.7%
G&A	**996**	**242**	**277**	**267**	**274**	**1,060**	**278**	**286**	**301**	**300**	**1,165**	**279**	**287**	**310**	**326**	**1,202**	**302**	**337**	**368**	**368**	**1,376**	**370**	**375**	**374**	**370**	**1,489**
% of Total Revenue	5.7%	5.2%	5.8%	5.5%	5.4%	5.5%	5.4%	5.4%	5.6%	5.4%	5.4%	4.9%	4.9%	5.2%	5.3%	5.1%	4.7%	5.1%	5.4%	**5.4%**	5.2%	**5.3%**	**5.2%**	**5.1%**	**5.0%**	5.1%
Q/Q Change		(7.6%)	14.5%	(3.6%)	2.6%		1.5%	2.9%	5.2%	(0.3%)		(6.9%)	2.7%	8.2%	5.0%		(7.2%)	11.6%	9.2%	0.0%		0.5%	1.1%	(0.2%)	(1.1%)	
Y/Y Change	8.4%	8.5%	14.9%	(1.1%)	4.6%	6.4%	14.9%	3.2%	12.7%	9.5%	9.9%	0.4%	0.3%	3.1%	8.6%	3.2%	8.2%	17.6%	18.6%	13.0%	14.4%	22.5%	11.1%	1.6%	0.5%	8.2%
Operating Expenses	**7,823**	**2,039**	**2,146**	**2,126**	**2,191**	**8,502**	**2,197**	**2,343**	**2,366**	**2,464**	**9,370**	**2,449**	**2,634**	**2,647**	**2,775**	**10,505**	**2,733**	**3,004**	**3,076**	**3,090**	**11,903**	**3,165**	**3,191**	**3,204**	**3,204**	**12,764**
% of Total Revenue	44.4%	43.8%	44.6%	43.5%	43.4%	43.8%	42.4%	44.1%	43.8%	44.0%	43.6%	42.9%	44.8%	44.2%	44.8%	44.2%	42.7%	45.4%	45.5%	45.3%	44.8%	45.3%	44.3%	43.7%	43.3%	44.1%
Q/Q Change		1.1%	5.2%	(0.9%)	3.1%		0.3%	6.6%	1.0%	4.1%		(0.6%)	7.6%	0.5%	4.8%		(1.5%)	9.9%	2.4%	0.4%		2.4%	0.8%	0.4%	(0.0%)	
Y/Y Change	13.2%	11.1%	9.8%	5.5%	8.6%	8.7%	7.7%	9.2%	11.3%	12.5%	10.2%	11.5%	12.4%	11.9%	12.6%	12.1%	11.6%	14.0%	16.2%	11.3%	13.3%	15.8%	6.2%	4.2%	3.7%	7.2%
Operating Income	**7,945**	**2,131**	**2,180**	**2,264**	**2,343**	**8,918**	**2,467**	**2,441**	**2,515**	**2,596**	**10,019**	**2,715**	**2,674**	**2,773**	**2,824**	**10,986**	**3,035**	**2,945**	**2,974**	**3,015**	**11,969**	**3,095**	**3,263**	**3,358**	**3,418**	**13,134**
Q/Q Change		5.3%	2.3%	3.9%	3.5%		5.3%	(1.1%)	3.0%	3.2%		4.6%	(1.5%)	3.7%	1.8%		7.5%	(3.0%)	1.0%	1.4%		2.7%	5.4%	2.9%	1.8%	
Y/Y Change	9.5%	6.9%	10.4%	15.8%	15.8%	12.2%	15.8%	12.0%	11.1%	10.8%	12.3%	10.1%	9.5%	10.3%	8.8%	9.7%	11.8%	10.1%	7.2%	6.7%	8.9%	2.0%	10.8%	12.9%	13.4%	9.7%
Operating Margin	**45.1%**	**45.8%**	**45.3%**	**46.3%**	**46.4%**	**45.9%**	**47.6%**	**46.0%**	**46.5%**	**46.3%**	**46.6%**	**47.5%**	**45.5%**	**46.3%**	**45.6%**	**46.2%**	**47.4%**	**44.5%**	**44.0%**	**44.2%**	**45.0%**	**44.3%**	**45.3%**	**45.8%**	**46.2%**	**45.4%**
EBITDA	**8,168**	**2,195**	**2,305**	**2,390**	**2,430**	**9,373**	**2,636**	**2,571**	**2,690**	**2,730**	**10,627**	**2,849**	**2,800**	**2,902**	**2,943**	**11,494**	**3,170**	**3,092**	**3,131**	**3,156**	**12,549**	**3,241.8**	**3,416.1**	**3,514.8**	**3,577.3**	**13,750.0**
Q/Q Change		5.5%	5.0%	3.7%	1.7%		8.5%	(2.5%)	4.6%	1.5%		4.4%	(1.7%)	3.6%	1.4%		7.7%	(2.5%)	1.3%	0.8%		2.7%	5.4%	2.9%	1.8%	
Y/Y Change	8.6%	7.3%	13.7%	18.7%	16.8%	14.8%	20.1%	11.5%	12.6%	12.3%	13.4%	8.1%	8.9%	7.9%	7.8%	8.2%	11.3%	10.4%	7.9%	7.2%	9.2%	2.3%	10.5%	12.3%	13.3%	9.6%
EBITDA Margin	**46.4%**	**47.2%**	**47.9%**	**48.9%**	**48.1%**	**48.3%**	**50.9%**	**48.4%**	**49.7%**	**48.7%**	**49.4%**	**49.9%**	**47.7%**	**48.5%**	**47.5%**	**48.4%**	**49.5%**	**46.7%**	**46.3%**	**46.3%**	**47.2%**	**46.4%**	**47.4%**	**47.9%**	**48.3%**	**47.5%**
Interest Expense	-112	-32	-26	-27	-28	-113	-27	-41	-51	-50	-169	-62	-68	-67	-66	-263	-63	-65	-66	-65	-259	-60	-60	-60	-60	-240
Investment Gains (loss)	-19	1	5	6	4	16	18	4	12	14	48	6	2	23	12	43	5	18	21	0	44	0	0	0	0	0
Other Income/(Expense)	60	42	42	61	85	230	52	78	77	56	263	69	56	35	45	205	57	29	27	45	158	35	35	35	35	140
Pretax Income/Loss	**7,874**	**2,142**	**2,201**	**2,304**	**2,404**	**9,051**	**2,510**	**2,482**	**2,553**	**2,616**	**10,161**	**2,728**	**2,664**	**2,764**	**2,815**	**10,971**	**3,034**	**2,927**	**2,956**	**2,995**	**11,912**	**3,070**	**3,238**	**3,333**	**3,393**	**13,034**
Q/Q Change		63.5%	2.8%	4.7%	4.3%		37.3%	(1.1%)	2.9%	2.5%		34.3%	(2.3%)	3.8%	1.8%		26.2%	(3.5%)	1.0%	1.3%		17.4%	5.5%	2.9%	1.8%	
Y/Y Change	81.2%	74.1%	102.5%	70.5%	83.5%	81.8%	39.2%	43.1%	43.3%	43.1%	42.2%	38.8%	37.0%	43.0%	38.6%	39.3%	41.6%	33.0%	28.3%	24.6%	31.6%	22.3%	30.5%	30.5%	29.7%	28.3%
Tax Expense/(Benefit)	**1,417**	**396**	**407**	**426**	**445**	**1,674**	**464**	**459**	**473**	**484**	**1,880**	**504**	**493**	**512**	**521**	**2,030**	**546**	**527**	**532**	**539**	**2,144**	**553**	**583**	**600**	**611**	**2346**
Tax Rate	18.0%	18.5%	18.5%	18.5%	18.5%	18.5%	18.5%	18.5%	18.5%	18.5%	18.5%	18.5%	18.5%	18.5%	18.5%	18.5%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%
Non-GAAP Net Income/(Loss)	**6,457**	**1,746**	**1,794**	**1,878**	**1,959**	**7,377**	**2,046**	**2,023**	**2,080**	**2,132**	**8,281**	**2,224**	**2,171**	**2,252**	**2,294**	**8,941**	**2,488**	**2,400**	**2,424**	**2,456**	**9,768**	**2,518**	**2,655**	**2,733**	**2,783**	**10,688**
Q/Q Change		28.1%	2.7%	4.7%	4.3%		33.2%	(1.1%)	2.8%	2.5%		32.8%	(2.4%)	3.7%	1.9%		27.0%	(3.5%)	1.0%	1.3%		18.1%	5.5%	2.9%	1.8%	
Y/Y Change	7.6%	9.0%	13.2%	17.7%	17.0%	14.2%	17.2%	12.8%	10.8%	8.8%	12.3%	8.7%	7.3%	8.3%	7.6%	8.0%	11.9%	10.5%	7.6%	7.0%	9.2%	1.2%	10.6%	12.7%	13.3%	9.4%
Non-GAAP EPS	**14**	**$3.80**	**$3.91**	**$4.09**	**$4.27**	**$16.06**	**$4.49**	**$4.48**	**$4.65**	**$4.81**	**$18.42**	**$5.08**	**$5.06**	**$5.31**	**$5.50**	**$20.94**	**$6.05**	**$5.97**	**$6.14**	**$6.30**	**$24.46**	**$6.50**	**$6.89**	**$7.12**	**$7.29**	**$27.79**
Q/Q Change		5.6%	3.0%	4.7%	4.3%		5.1%	(0.2%)	3.8%	3.5%		5.5%	(0.3%)	5.0%	3.6%		10.0%	(1.4%)	2.8%	2.7%		3.0%	6.0%	3.4%	2.3%	
Y/Y Change	9.9%	12.7%	16.6%	20.3%	18.7%	17.1%	18.2%	14.6%	13.7%	12.8%	14.7%	13.2%	13.0%	14.2%	14.3%	13.7%	19.2%	18.0%	15.5%	14.6%	16.8%	7.3%	15.3%	16.1%	15.6%	13.6%
Diluted Shares	**471**	**460**	**459**	**459**	**459**	**459**	**456**	**451**	**448**	**443**	**450**	**438**	**429**	**424**	**417**	**427**	**411**	**402**	**395**	**389**	**399**	**388**	**386**	**384**	**382**	**385**
Q/Q Change		(1.3%)	(0.2%)	0.0%	0.0%		(0.7%)	(1.1%)	(0.7%)	(1.1%)		(1.1%)	(2.1%)	(1.2%)	(1.7%)		(1.4%)	(5.9%)	(3.9%)	**(1.4%)**		**(0.5%)**	**(0.5%)**	**(0.5%)**	**(0.5%)**	
Y/Y Change	(2.1%)	(3.3%)	(3.0%)	(2.1%)	(1.5%)	(2.5%)	(0.9%)	(1.7%)	(2.4%)	(3.5%)	(2.1%)	(3.9%)	(4.9%)	(5.4%)	(5.9%)	(5.0%)	(6.2%)	(6.3%)	(6.8%)	(6.6%)	(6.5%)	(5.7%)	(4.1%)	(2.9%)	(2.0%)	(3.7%)

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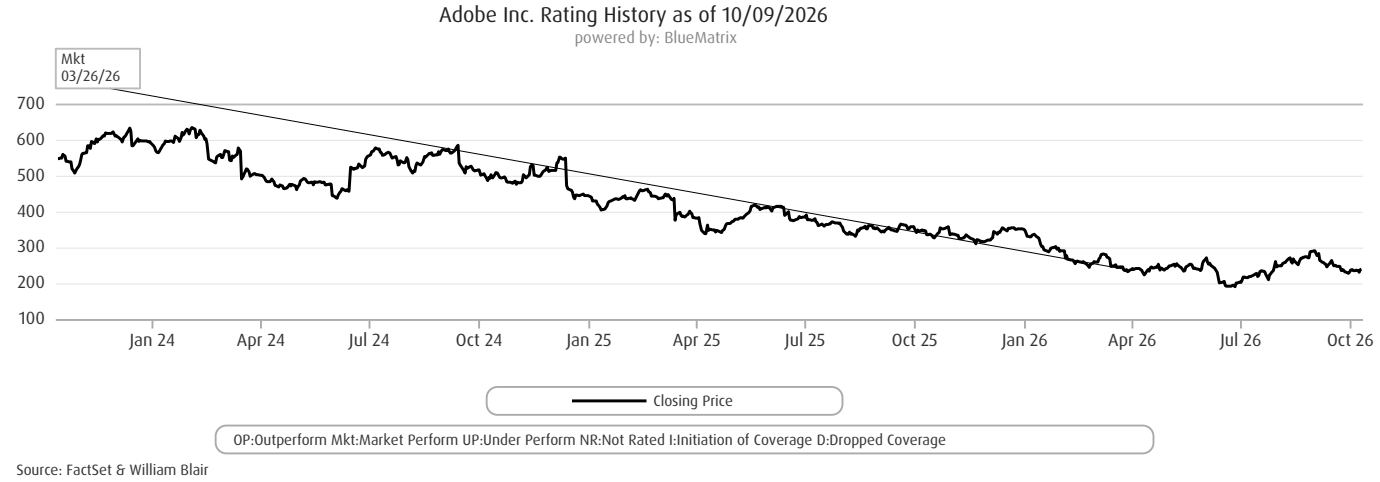
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